

## 38 TIER #5: PURE SPECULATION

These are investments that would normally be a relatively small part of any investment plan. Their primary value is their sizable potential appreciation—in other words, speculation. Most generate little or no income, and are highly volatile.

My recommendation is to speculate with only a small ratio of your assets, 5-10 percent at the most.

**GOLD AND SILVER:** Under tier 4, we discussed investing in gold and silver for long-term growth. There it was used as a hedge against a financial collapse. But you can also invest in gold and silver for short-term speculation. This would be the case in a highly volatile economy where major changes were occurring, such as the oil crisis in the mid '70s. The run-up in silver prices in the late '70s was another example of speculation in precious metals.

Obviously, such events are difficult to predict and extremely risky. They are for the investor with a strong heart and cash only. Unless you are a professional investor, this is probably not an area where you want to risk a lot of money. Income potential, incalculable. Risk, 9-10.

**OIL AND GAS:** In the late '70s and early '80s when crude oil prices cycled up, oil and gas investments were the hottest things going. I saw many people investing money in oil and gas who didn't understand the risks involved. The vast majority lost their investment when the prices fell and marginal wells were unprofitable. There is a high degree of risk, particularly in oil exploration.

Many people invested in oil- and gas-limited partnerships to develop known gas and oil fields. Not only did they lose their money on these investments, but they also discovered they were liable for environmental damages caused by the wells. It ultimately cost them several thousand dollars to clean up the sites. Most would have gladly given their shares to anyone who would bear the cost of cleanup. Many of the companies they invested with simply shut down their wells because production costs exceeded income.